

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

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Macro Overview:

The ongoing U.S. conflict with Iran has severely disrupted energy markets, driving the cost of West Texas Intermediate (WTI) crude up to \$97 USD per barrel, while Brent crude has reached \$102. This sharp increase in oil prices threatens to trigger secondary inflationary effects as energy costs pass through the global supply chain. Consequently, the Federal Reserve remains highly cautious. This inflationary pressure could necessitate a slower timeline for interest rate reductions, or potentially even prompt rate hikes. Similarly, the Bank of Canada must remain on high alert should these inflationary effects spread.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-0.54%	-1.62 %
TSX	-0.65 %	-1.61 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.283 %	3.998%



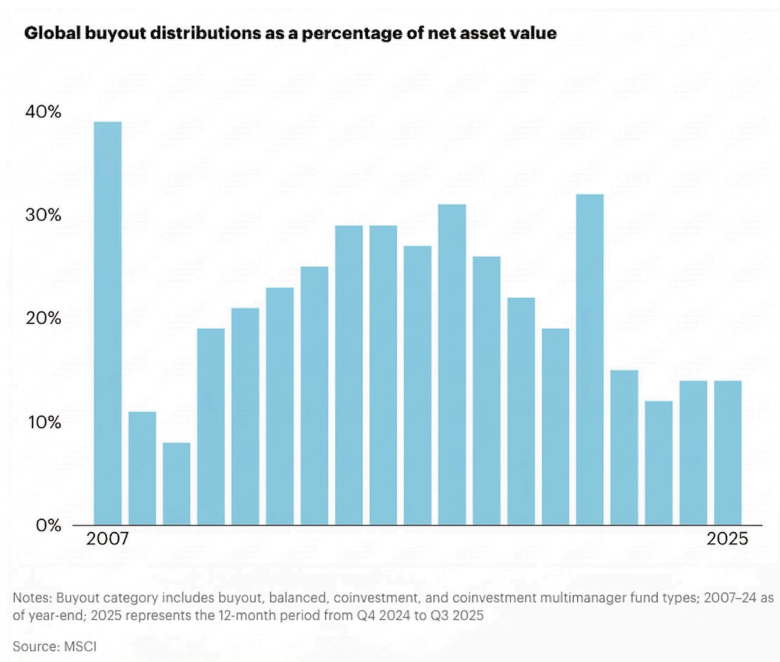
by Sebastian Contreras
Research Analyst

Did the “private party” get ruined?

Inspired on [WSJ's article](#)

Overview:

A massive wave of investors is trying to withdraw their capital from private equity funds. The catalyst? A growing **distrust in the capacity** of these private equity firms to actually **return free cash flow**. An example of this is shown by this graph.



Bain , Private Equity Outlook, 2026. [Source](#)

Global buyout distributions as a percentage of net asset value (NAV) have plunged to multidecade lows. **The industry is sitting on unexited assets**, leaving investors without liquidity.

Risk:

Educational Angle:

How does a private fund typically work?

To understand the current panic, you have to understand the mechanics of fund liquidity.

In a traditional Private Equity (PE) structure, a General Partner (GP) raises capital from Limited Partners (LPs), like pension funds or endowments. This capital is "locked up" for 7 to 10 years. The GP uses this money to buy companies, improve their operations, and eventually sell them, distributing the cash back to the LPs.

During this lock-up period, LPs generally cannot ask for their money back. However, the current crisis is heavily concentrated in semi-liquid retail funds. These funds were designed to give individual investors access to private markets. To provide "liquidity," these funds allow investors to redeem their shares periodically, but with strict limits.

Because **private equity assets** (like whole companies or private loans) **cannot be sold overnight**, funds enforce withdrawal limits, commonly known as "gates". Most semi-liquid funds only allow total investor withdrawals of up to **2% of the fund's net asset value (NAV) per month**, and a **maximum of 5% per quarter**.

Why do these limits exist? If everyone asks for their money back at once, the fund would be forced to sell its illiquid assets at massive discounts just to generate cash. Gates protects the remaining investors in the fund from these catastrophic losses. When a fund hits its 5% quarterly limit, it blocks all further withdrawal requests. This might cause panic, and leads to the exact scenario we are witnessing today: a rush to the exit.

Reflection:

The recent wave of distressed PE deals might be a **classic symptom of a maturing industry**. During the low-interest-rate boom, the number of private equity firms exploded, lowering barriers to entry and diluting the average quality of fund managers. Now that the era of "easy money" and cheap debt is over, the market is exposing which general partners lack the operational expertise to actually drive value.

While this shakeout is painful for investors trapped in failing funds, we are witnessing an inevitable consolidation phase. **Eliminating weaker players will incentivize fierce competition, drive fee compression, and force surviving firms to compete on true operational value-add**. Ultimately, this creates a leaner, more efficient landscape for capital allocation, as the contagion effects are neutralized.